

RESIDENTIAL LEASE AGREEMENT

Apartment Lease — IFRS 16

LANDLORD: Lakeview Property Management LLC, an Illinois limited liability company

TENANT: Sarah Chen, an individual residing at the Premises

PREMISES: 2847 North Clark Street, Apartment 4B, Chicago, IL 60657 — comprising approximately 850 square feet

STANDARD: This Lease is reported under **IFRS 16 Leases** for applicable financial reporting purposes.

RECITALS

WHEREAS, Landlord owns residential property located at 2847 North Clark Street, Chicago, IL 60657; and

WHEREAS, Tenant desires to occupy Apartment 4B at the above address as a primary residential dwelling;

NOW, THEREFORE, the parties agree as follows:

§1 — Definitions

"Commencement Date" — means June 1, 2024.

"Expiry Date" — means May 31, 2026.

"Initial Term" — means a period of two (2) years commencing on the Commencement Date and expiring on the Expiry Date.

"Premises" — means Apartment 4B at 2847 North Clark Street, Chicago, IL 60657, comprising approximately 850 square feet.

"Monthly Rent" — means USD \$3,000 per calendar month.

"Annual Rent" — means USD \$36,000 per annum.

"Security Deposit" — means USD \$6,000 as described in §6.1.

§2 — Premises and Lease Term

§2.1 Lease Term

The Landlord hereby leases to the Tenant the Premises for a term of **two (2) years**, commencing on **June 1, 2024** (the "Commencement Date") and expiring on **May 31, 2026** (the "Expiry Date"), unless sooner terminated in accordance with this Lease.

§2.2 Description of Premises

The Premises consist of **Apartment 4B at 2847 North Clark Street, Chicago, IL 60657**, comprising approximately **850 square feet** of residential living space including one bedroom, one bathroom,

kitchen, and living area. The Tenant accepts the Premises in their current condition.

§3 — Renewal Options

§3.1 No Renewal Options

This Lease does not contain any option to renew or extend. Upon the expiry of the Initial Term on May 31, 2026, this Lease shall terminate automatically unless the parties enter into a new written lease agreement. The Tenant shall vacate the Premises on or before the Expiry Date unless a new agreement has been executed.

§4 — Use of Premises

The Tenant shall use and occupy the Premises solely as a private residential dwelling for the Tenant and immediate family members only. No commercial activity or subletting shall be permitted without the prior written consent of the Landlord. The Tenant shall comply with all applicable building rules, regulations, and ordinances.

§5 — Rent

§5.1 Base Rent

The Tenant shall pay to the Landlord a monthly rent of **USD \$3,000** per calendar month (**USD \$36,000 per annum**), due and payable in advance on the first day of each calendar month. Rent shall be paid by direct bank transfer or such other method as the Landlord shall specify in writing.

§5.2 Payment Schedule

The first month's rent shall be paid upon execution of this Lease. Subsequent monthly payments shall be due on the first day of each calendar month. Late payments shall incur a penalty of \$150 per day after a five (5) day grace period.

§5.3 Rent Escalation

There is no rent escalation clause under this Lease. The monthly rent of USD \$3,000 shall remain fixed and unchanged throughout the entire Initial Term of two (2) years. No automatic or discretionary rent increases shall apply during the Term.

§6 — Security Deposit

§6.1 Security Deposit Amount and Terms

Upon execution of this Lease, the Tenant shall pay to the Landlord the sum of **USD \$6,000** as a security deposit. The Security Deposit shall be held in a separate account as required by the Illinois Security Deposit Return Act (765 ILCS 710). The deposit shall be returned to the Tenant within thirty (30) days of the termination of this Lease, less any lawful deductions for damages beyond normal wear and tear or unpaid rent.

§7 — Operating Costs and IFRS 16 Accounting Provisions

§7.1 Right-of-Use Asset and Discount Rate

The parties acknowledge that this Lease may fall within the scope of IFRS 16 Leases for the Tenant's financial reporting purposes. For the avoidance of doubt, the **applicable discount rate is 4.5% per annum**, being the Tenant's incremental borrowing rate as agreed between the parties at the Commencement Date. This rate shall be used by the Tenant to measure the lease liability and corresponding right-of-use asset in accordance with IFRS 16 paragraph 26. The right-of-use asset represents the Tenant's right to occupy **Apartment 4B, 2847 North Clark Street, Chicago, IL 60657** (approximately 850 square feet) for the duration of the Term.

§7.2 Short-Term Exemption Assessment

The Tenant acknowledges that this Lease has a term of two (2) years, which exceeds the twelve (12) month threshold for the IFRS 16 short-term lease exemption. Accordingly, the Tenant is not entitled to apply the short-term exemption under IFRS 16 paragraph 5(a) without further assessment of the impact of the termination right described in §9.1 on the non-cancellable lease period pursuant to IFRS 16 Appendix B, paragraph B34.

§7.3 Premises Detail

For IFRS 16 asset identification purposes: the leased asset is a residential apartment unit (Apartment 4B) at 2847 North Clark Street, Chicago, IL 60657, comprising 850 square feet. The right of substitution is not substantive; the identified asset provisions of IFRS 16 paragraphs B13–B20 are satisfied.

§8 — Insurance

The Tenant shall maintain renters' insurance for the duration of the Term in an amount not less than \$50,000 for personal property and \$300,000 for personal liability. Proof of insurance shall be provided to the Landlord upon request. The Landlord shall maintain building insurance for the structure of the Premises.

§9 — Termination

§9.1 Termination Rights

The **Tenant** may terminate this Lease prior to the Expiry Date by providing not less than **sixty (60) days' written notice** to the Landlord. Such notice must specify the proposed termination date, which shall be at least sixty (60) days from the date of delivery of such notice. The Tenant shall remain liable for all rent and obligations up to and including the termination date. **The Landlord may only terminate this Lease for cause**, including material breach of the Tenant's obligations herein, non-payment of rent, or conduct endangering the property or other residents, subject to applicable Illinois residential tenancy law.

§9.2 Notice Requirements

All notices shall be delivered in writing by hand, certified mail (return receipt requested), or email with delivery confirmation to the addresses set out in this Lease. Notices shall be deemed effective upon receipt.

§10 — Alterations

The Tenant shall not make any alterations, additions, or improvements to the Premises without the prior written consent of the Landlord. Minor decorative changes (such as painting with neutral colours) may be permitted with advance written approval.

§11 — Assignment and Subletting

The Tenant shall not assign this Lease or sublet the Premises or any part thereof without the prior written consent of the Landlord. Consent may be withheld in the Landlord's sole and absolute discretion.

§12 — Default and Remedies

The failure of the Tenant to pay any rent within five (5) days of the due date, or to comply with any other material term of this Lease within ten (10) days of written notice, shall constitute an event of default. Upon default, the Landlord may exercise all remedies available under Illinois law, including commencement of eviction proceedings.

§13 — Quiet Enjoyment

The Landlord covenants that, so long as the Tenant pays rent when due and observes all obligations of this Lease, the Tenant shall quietly hold and enjoy the Premises throughout the Term without interference by the Landlord, subject to the Landlord's right of entry for inspection upon reasonable prior notice.

§14 — General Provisions

§14.1 Governing Law

This Lease shall be governed by and construed in accordance with the laws of the **State of Illinois**, including without limitation the Residential Landlord and Tenant Ordinance (Chicago Municipal Code, Chapter 5-12) where applicable. The parties consent to the exclusive jurisdiction of the courts located in Cook County, Illinois.

This Lease represents the entire agreement between the parties and supersedes all prior oral or written negotiations. No modification shall be valid unless made in writing and signed by both parties.

§SIGNATURES — Execution

IN WITNESS WHEREOF, the parties have executed this Residential Lease Agreement as of the Commencement Date.

LANDLORD

Lakeview Property Management LLC

Signature: _____

TENANT

Tenant

Signature: _____

Name: Authorised Manager

Title: _____

Date: June 1, 2024

Name: Sarah Chen

Title: _____

Date: June 1, 2024